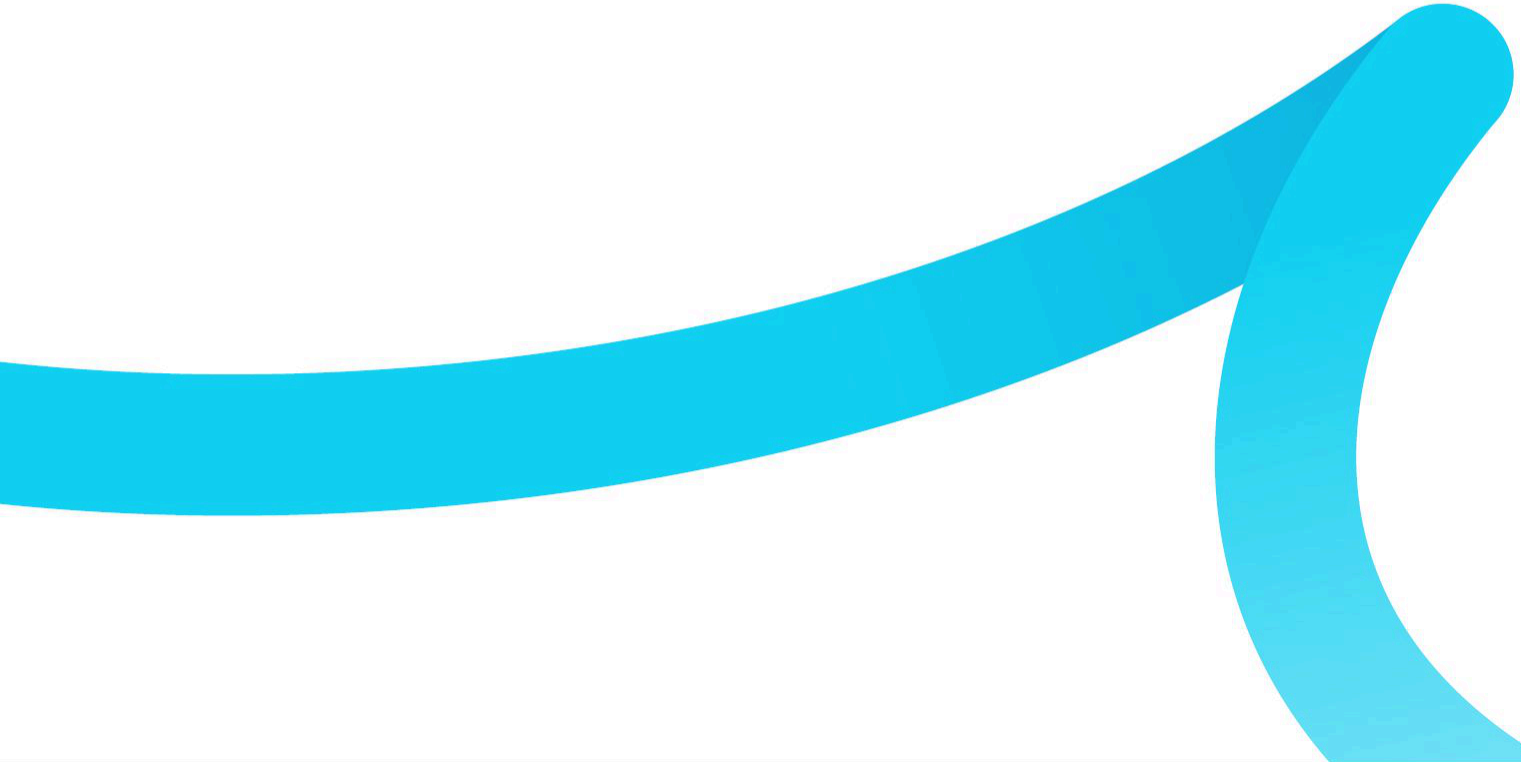
Case Study: ChatGPT

Q4 2024 - Measuring and growing our core business



Agenda

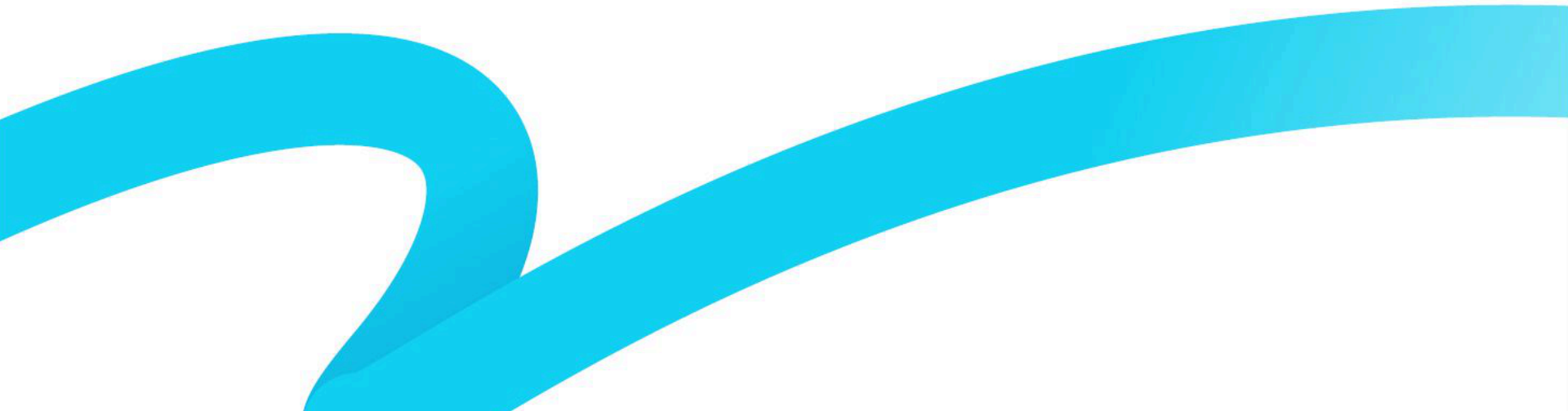
01	**Foundations / KPIs**	Alignment around KPIs and Guiding Star metrics
02	**Growth Initiatives**	Selection of Growth / Unit Economic optimizers
03	**2-3 Years from Now**	Avenues of growth for us to invest in

Please use the following Google Doc as an accompanying piece to the deck. Items will be further fleshed out and detailed in the document: Case Study

Setting the foundation: KPIs and Guiding Stars

01

Aligning Engagement, Monetization, and Operations to Drive Sustainable Growth



Maximizing ChatGPT’s Potential Through Key Metrics

Engagement

Drive user retention and repeat usage

Monetization

Maximize revenue through subscriptions and ARPU growth

Operations

Improve cost efficiency and model performance

We’re choosing three main categories to focus our KPIs and Guiding Stars given the strategic priority to enhance product value at scale.

We will track KPIs religiously and our Guiding Stars will serve as pillars to shape our business/product investment on

Engagement KPIs: Driving Retention and Daily Usage

Key metrics to understand how indispensable ChatGPT can be for users

Metric	Rationale	Expected Impact	Relevant Benchmarks
Task Completion Rate	Tracks the percentage of prompts where users feel their task was successfully completed.	+5% satisfaction → +10% retention and repeat use	Target: ≥80% completion satisfaction rate.
Daily Active Users (DAUs) by Tier	Monitors activity segmentation (free, Plus, Pro, Team and enterprise users).	+10% MoM growth → +$20M ARR for every 1M users	SaaS target DAU growth: 5-10% MoM.
Multi-Session Daily Usage	Tracks users who engage with ChatGPT more than once per day.	+10% multi-session → +5-7% paid tier upgrades	Benchmark: ≥30% of DAUs

Monetization KPIs: Understanding Profitability and Scale

Metrics to ensure sustainable unit economics

Metric	Rationale	Expected Impact	Relevant Benchmarks
Subscription Retention Rate	Measures retention across different subscription tiers	+5% retention → +$50M ARR annually	Target SaaS retention: ≥85% annually.
Cost of Acquisition per Subscriber	Calculates how much is spent on acquiring each new paying user.	Lower CAC → Higher ROI	Benchmark CAC: ≤2x ARPU.
Average Revenue Per User (ARPU)	Captures earnings across free and paid tiers.	+10% ARPU → +$50-$100M ARR annually	SaaS ARPU $10-$25 for similar apps.

Operational KPIs: Enhancing Efficiency and Model Performance

Reducing costs and improving features to drive value at scale

Metric	Rationale	Expected Impact	Relevant Benchmarks
Feature-Level NPS	Assesses user sentiment for individual features (e.g., summarization, image generation).	+10 points → +15% adoption and upsells	NPS benchmark: ≥40 for key SaaS features.
Perplexity Score	Measures how well the model predicts a sample; lower scores indicate better performance.	-10% perplexity → +15% completion relevance	A perplexity score below 20 is considered excellent for language models.
Cost per Query	Tracks efficiency in delivering AI-powered responses.	-15% costs → +$100M margin improvement annually	Estimated cost: $0.002-$0.03 per query.

Guiding the Future Through Clear Guiding Star Metrics

Strategic levers for sustained growth and profitability to monitor and action on

	Description	Impact
Retention-Driven: 7-Day Retention Rate for Core Users	Retention signals habit formation and long-term stickiness.	+10% retention → +20% MAUs and +15% free-to-paid conversions.
Monetization-Driven: Paid Subscriber LTV-to-CAC Ratio	Indicates profitable growth and marketing efficiency	Improving LTV/CAC from 2.5x to 4x unlocks larger budgets
Engagement-Driven NSM: Monthly Prompts Per User	Tracks reliance on ChatGPT, a signal for conversion	+15% prompts/user → +10% subscription revenue.

Strategic Priorities and Initiatives, Growth-at-All-Costs

02

OpenAI is emphasizing growth over cost optimization in its current strategy.

High-Impact Initiatives to Drive Growth and Revenue (shortlist)

Localized models and an ad-supported tier as strategic growth levers

Growth over cost-optimization: Move forward with two major initiatives that capture untapped markets and leverage free-tier users bringing in $160M in 2-3 years

See full list + impact analysis here

Category	Initiative	Impact Estimate	Effort	Rationale
Growth	Localized ChatGPT Models for Emerging Markets	$100M ARR	High	Captures 200M users in untapped regions, driving long-term global growth.
Unit Economics	Ad-Supported Tier	$60M ARR	Medium	Monetizes free-tier users while keeping the product accessible.

Deep Dive: Unlocking 200M Users in Emerging Markets

Addressing language, bandwidth, and affordability challenges to drive adoption

Key Rationale

- Emerging markets account for 70% of new internet users by 2030
- Language barriers and connectivity issues limit current adoption.

Challenges and Mitigations

- Risk: Cultural/linguistic inaccuracies.
  - Solution: Native QA teams and telco partnerships.
- Risk: Infrastructure limitations.
  - Solution: Lightweight GPT versions optimized for low-resource environments.

Impact

- User Base: 200M users (5% penetration of 4B internet users).
  - Revenue: $100M ARR (ARPU = $0.50/month).
  - Long-Term Upside: Builds a foundation for premium tier upselling and partnerships.

See more here

Project Plan / Phasing: Localized Models for Emerging Markets

Month 0	Month 1	Month 2	Month 3	Month 4	Month 5	Month 6	Month 7
Phase 1: Planning and Strategy	Shortlist languages and regions. Identify top telco partners Analyze low-bandwidth infrastructure needs						
Phase 2: Infrastructure Build			Launch beta versions of localized models in 2-3 regions. Achieve 85%+ linguistic QA accuracy.				
Phase 3: Pilot Launch					Partner with local telcos to provide free or subsidized access. Roll out to test groups		
Phase 4: Full Rollout and Optimization							🚀🚀🚀🚀🚀🚀

Deep Dive: Monetizing Free-Tier Users at Scale with Ads

Generating $60M ARR by capitalizing on existing free-tier engagement

Key Rationale

- Freemium models have proven success (e.g., Spotify: $2B annually in ad revenue).
- Keeps ChatGPT accessible while generating predictable revenue streams.

Challenges and Mitigations

- Risk: User dissatisfaction with ads
  - Solution: Non-intrusive formats and high-relevance placements.
- Risk: Ad infrastructure complexity
  - Solution: Partnerships with proven ad networks (e.g., Google AdSense)..

Impact

- Engagement: 50M free-tier users → 20% ad engagement = 10M impressions.
  - **Revenue: $5M monthly, $60M annually (CPM: $0.50-$1).**
  - Scalability: Supports growth without additional cost to users.

See more here

Project Plan / Phasing: Ad-Supported Tier

Month 0	Month 1	Month 2	Month 3	Month 4	Month 5	Month 6	Month 7
Phase 1: Planning and Strategy (2 months)	Finalize 2-3 ad formats for pilot testing. Secure partnerships with at least 2 major ad networks.						
Phase 2: Infrastructure Build (4 months)			Complete backend infrastructure for ad delivery. Ensure minimal latency impact (<5% increase) on free-tier queries.				
Phase 3: Pilot Launch (3 months)					Roll out ads to 10% of free-tier users Gather feedback on ad relevance and placement		
Phase 4: Full Rollout and Optimization (3 months)							🚀🚀🚀🚀🚀🚀

Impact and Effort Trade-Offs for Selected Initiatives

Balancing long-term acquisition with immediate monetization

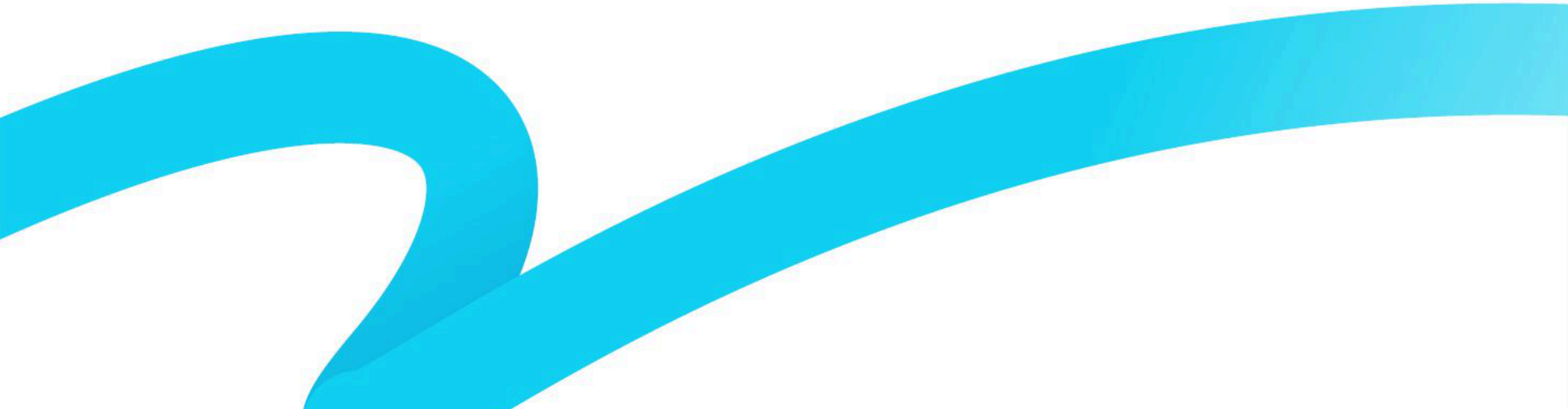
We should invest in these two major initiatives that improve overall growth and monetization, we will need R&D investment to tackle both in parallel. Work in parallel unless otherwise instructed; we could do one after the other but we risk momentum within the market and customer needs.

Metric	Localized ChatGPT Models	Ad-Supported Tier
Impact (ARR)	$100M	$60M
Effort	High	Medium
Strategic Importance	Long-term global user acquisition	Immediate monetization
Timeline	18 months	12 months
Risks	Cultural/Language inaccuracies	Ads are annoying

Investment Focus for OpenAI’s Future

03

Balancing enterprise specialization with consumer creativity



High-Impact Opportunities for OpenAI’s Future

Diversifying revenue streams across enterprise and consumer markets

See full list here

Metric	Vertical-Specific AI Models	Multimodal AI Ecosystem
Revenue Impact	$200M–$400M ARR	$500M–$1B ARR
Target Audience	Healthcare, legal, and finance sectors	Creators, brands, and consumers
Market Opportunity	$100B+ across regulated industries	$1T creative market
Strategic Importance	High differentiation in niches	Broad TAM expansion
Cost/Effort	High (data curation, compliance)	High (infrastructure build-out)
Time Horizon	Medium-term (12–24 months)	Medium-term (12–24 months)

Vertical-Specific AI: Capturing High-Value Enterprise Niches

Specialized AI for healthcare, legal, and finance markets

Key Rationale

- High willingness to pay for tailored solutions in regulated industries.
- Addresses domain-specific challenges with pre-trained, compliance-ready models.

1. Expand Enterprise Market Share:

- **Target Sectors:**
  - Healthcare: Enhance diagnostics, patient education, documentation.
  - Legal: Automate research, contract analysis, and compliance.
  - Finance: Strengthen fraud detection, risk modeling,
- **Revenue Impact**: Targeting 5% penetration across industries: **$200M–$400M ARR.**

2. Increase ARPU:

- Enterprise ARPU could double from $5–$10 to $20–$50 due to customization and high-value integrations.
- **Impact**: Doubling ARPU for 1M enterprise users adds **$120M ARR.**

3. Differentiate OpenAI:

- Creates a competitive moat in high-trust, high-compliance industries (e.g., HIPAA, FINRA).
- Distances OpenAI from general-purpose AI providers like AWS and Google Cloud.

Multimodal AI Ecosystem: Expanding into the Creative Market

Unlocking the $1T opportunity in content creation and multimedia

Key Rationale

- Broadens OpenAI's reach beyond enterprise to creators, brands, and consumers.
- Enhances ChatGPT's capabilities with text, video, and voice integration.

1. Expand Total Addressable Market:

- **Creative Use Cases:**
  - Creation: Automate video scripts, animations, and voiceovers.
  - Marketing: Ad campaigns, product demos, and interactive videos.
  - Entertainment: Support immersive storytelling, games, and films.
- **Revenue Impact**: Capturing 1% of the $1T creative market could yield **$1B ARR**

2. Enhance Consumer Engagement:

- Proactive AI assistants for video and audio editing drive reliance and daily usage.
- Expanding ChatGPT into video/voice-first tools boosts retention and user satisfaction.

3. Foster Ecosystem Growth:

- Partnerships with platforms like YouTube, TikTok, and Canva position OpenAI as a critical enabler for creators.
- API monetization for multimodal tasks grows developer adoption and revenue.

Balancing Enterprise Focus with Consumer Growth

Two initiatives with complementary outcomes

In order to position OpenAI for long-term success, we need a dual focus on enterprise specialization and consumer expansion. We can achieve this with investment in vertical-specific AI + Multimodal AI development which can provide upwards of $200M and $500M, respectively

Metric	Vertical-Specific AI Models	Multimodal AI Ecosystem
Revenue Diversification	Strengthens enterprise revenue base - $200-$400M ARR	Unlocks consumer and creator markets - $500M ARR
Market Maturity	Focus on established regulated sectors	Capitalize on rapid growth in creative industries
Brand Impact	Establishes leadership in compliance-driven markets	Differentiates OpenAI with multimodal capabilities
Strategic Horizon	Medium-term enterprise dominance	Long-term market TAM expansion